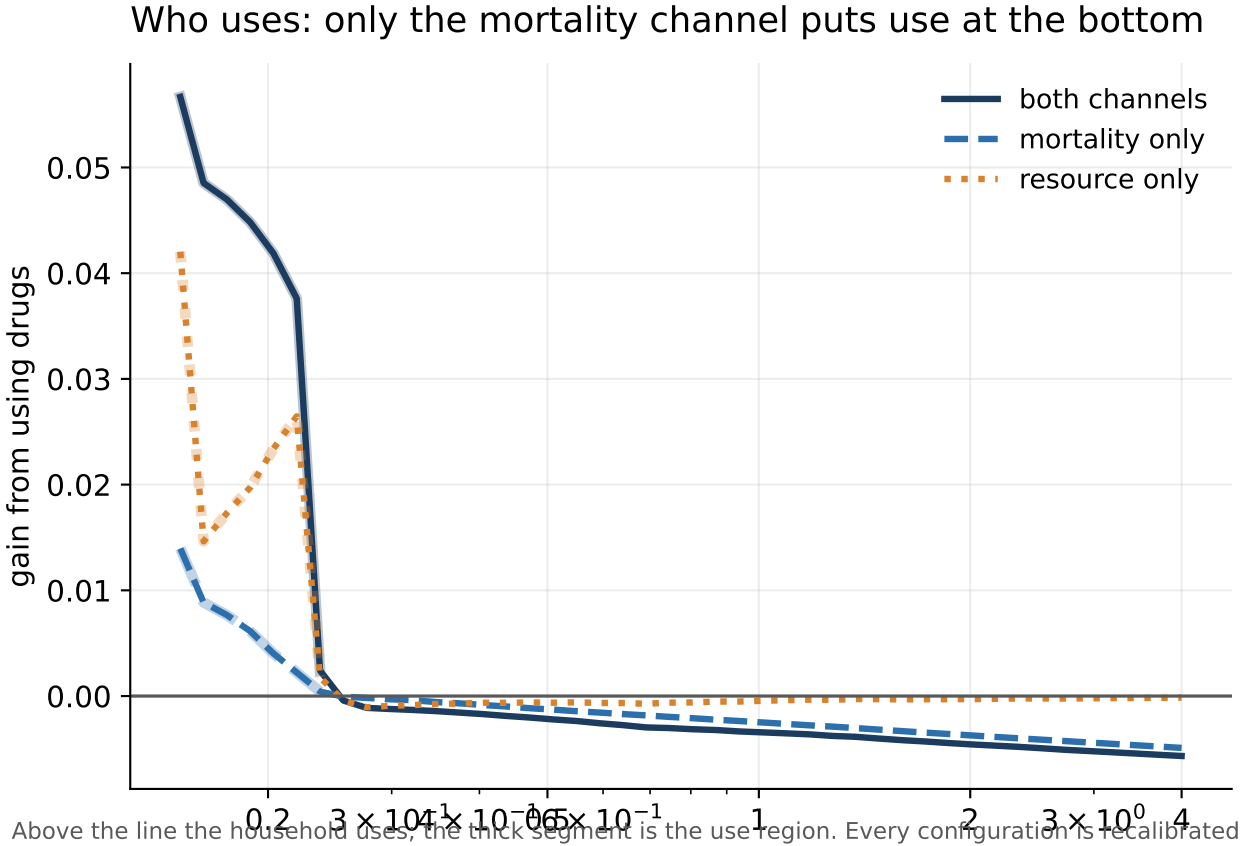

Above the line the household uses, the thick segment is the use region. Every configuration is recalibrated to the same 5.13 per cent participation rate, so the lines differ in WHICH households use, not how many. With only the resource channel the region sits at the top: a richer household gives up less utility per dollar of drugs, and a penalty proportional to income cannot outrun that. A mortality penalty can, because it destroys a continuation value that rises with income.